Unit title: Understanding Business
Unit code: J229 76

Unit outline
The general aim of this Unit is to enhance learners' understanding of the features and characteristics of large organisations. It will further develop the skills, knowledge and understanding by carrying out activities relating to the operation of large organisations including those that operate globally. The Unit will allow learners to explore issues relating to the internal and external environment in which larger organisations operate and the effect this can have on decision making and profitability.

Outcomes
Learners who complete this Unit will be able to:

Outcome 1
1 Analyse the features, objectives and internal structures of large organisations by:
1.1 Comparing features of large organisations from different sectors of the economy
1.2 Identifying the objectives of large organisations and describing the importance of these objectives
1.3 Describing internal structures large organisations may use, justifying why they would use these structures

Outcome 2
2 Analyse the environment in which large organisations operate by:
2.1 Explaining the impact of internal factors on a large organisation
2.2 Explaining the impact of external factors on a large organisation
2.3 Describing conflicts of interest that could exist between stakeholders

Approaches to learning and teaching

Topic	Skills, knowledge and understanding	Suggested experiences and activities
Role of Business in Society	Learners should be aware of how business activity adds value and helps satisfy the needs of customers in a changing competitive environment. Learners should be able to classify and describe the following: ♦ sectors of industry	♦ Independent/group research tasks and/or case studies looking at the different industrial and economic sectors. Presenting findings to the class.

Topic	Skills, knowledge and understanding	Suggested experiences and activities
	♦ business activity in the primary sector, secondary sector, tertiary sector and quaternary sector ♦ sectors of the economy ♦ organisations in the public, private and third sectors	
Types of organisations	From the range below, learners should be aware of the structure of each and be able to describe the similarities and differences between structures in the private, public and third sectors. ♦ private limited companies ♦ public limited companies ♦ franchises ♦ multinational organisations ♦ public sector organisations ♦ third sector organisations	♦ Activities which allow learners opportunities to familiarise themselves with public limited companies, franchises and multinational organisations in terms of how they are organised, what they do and how they do it. Examples of such activities could include: —surveys to parent/carers/relatives about their employers —using online mapping to examine the distribution of local businesses
Objectives	Learners should be aware of the aims/objectives of the organisations listed above and be able to explain any similarities or differences in these aims/objectives. Learners should be able to understand the need to set objectives, why organisations have more than one objective, what they do to achieve the objectives and why these objectives may change as circumstances change. Main objectives: Corporate social responsibility; growth; satisficing; managerial objectives.	♦ Accessing real-life case studies that will allow learners to understand how commercial business works. Using current businesses as case studies can demonstrate the reasons behind their objectives will enhance understanding of how commercial businesses work. ♦ Listening to external contributors explaining about their business objectives and the reasons for choosing them.
Methods of Growth	Learners should be aware of methods of growth available to an organisation, be able to describe the methods, give reasons for using each method and give any drawbacks to the method.	♦ Accessing real-life case studies that will allow learners to understand growth methods used. Using current businesses as case studies can demonstrate the reasons for choosing the growth method.

Topic	Skills, knowledge and understanding	Suggested experiences and activities
	Methods include: organic growth, mergers and acquisitions/takeovers, diversification, divestment, de-integration, asset stripping, demerger, buy-in, buy-out and outsourcing.	♦ Listening to external contributors explaining about their growth methods and the reasons for choosing them.
External factors	Learners should be aware of the impact that external factors might have on organisations and be able to offer solutions as to how the organisation might lessen the effect. Factors include: political, economic, social, technical, environmental, competitive and ethical.	♦ Using current businesses as case studies to illustrate how external factors can positively and negatively affect their activities can be useful (eg how tobacco companies have been affected by the smoking ban). ♦ Researching how external factors influence a business of their choice and then presenting their findings. ♦ Using appropriate technological and media resources (eg business stories on news websites) to illustrate the impact of external factors on business activity. ♦ Listening to external contributors explaining how their business is affected by factors such as competition, competition policy and economic policy.
Internal factors	Learners should be aware of the impact that internal factors might have on organisation's ability to meet its objectives and the ways the organisation might be able to overcome any constraints in term of: ♦ staffing ♦ finance ♦ technology ♦ corporate culture	♦ Using analytical techniques to illustrate how internal factors can positively and negatively affect business activities (eg how workers taking strike action affects a business). ♦ Researching how internal factors are influencing choices made by businesses and then present their findings. ♦ Using appropriate technological and media resources (eg business stories on news websites) to illustrate the impact of contemporary technology on business activity. ♦ Listening to external contributors explaining how internal factors affect their business such as corporate culture.

Topic	Skills, knowledge and understanding	Suggested experiences and activities
Business structures	Learners should be aware of business structures available to an organisation, be able to describe these structures, give reasons for using each one and give any drawbacks to the structure ♦ tall and flat management structures ♦ centralised and decentralised management structures ♦ matrix management structure ♦ entrepreneurial management structure ♦ staff groupings such as function, location, product, technological and customer	♦ Using current businesses as case studies to provide examples of staff and management. ♦ Listening to external contributors explaining how they organise their managers and staff and their reasons for doing so.
Stakeholders	Learners should be aware of the differing objectives of groups of stakeholders in terms of: ♦ stakeholder conflict and resolution ♦ stakeholder interdependence	♦ Using current businesses as case studies to provide examples of stakeholder conflict and interdependence. ♦ Using appropriate technological and media resources (eg business stories on news websites) to illustrate contemporary examples of stakeholder conflict and interdependence. ♦ Listening to external contributors explaining how they manage stakeholder conflict and interdependence.
Decision Making	Learners should be aware: ♦ strategic, tactical and operational decisions ♦ the role of a manager in making decisions ♦ SWOT analysis and its use as a decision-making tool ♦ factors which affect quality decisions	♦ Using current businesses as case studies to provide examples of strategic, tactical and operational decisions. ♦ Listening to external contributors explaining the skills needed by a manager in order to make effective decisions. ♦ Preparing a SWOT analysis on a business and using the analysis to suggest a suitable action the business could take.

Evidence Requirements

Evidence can be drawn from a variety of sources and presented in a variety of formats. This can include short written responses, participation in group tasks, presenting information to other groups and/or oral recorded evidence. The evidence can be gathered from a variety of tasks and assessments carried out during the Unit or Course. Learners should use appropriate business terminology and include, where appropriate, the use of real business examples.

Evidence may be presented for individual Outcomes or it may be gathered for the Unit as a whole through combining assessment in one single activity.